



UNITED STATES
NUCLEAR REGULATORY COMMISSION
REGION III
2056 WESTINGS AVENUE, SUITE 400
NAPERVILLE, IL 60563-2657

September 17, 2025

Michael Mlynarek,
Site Vice President,
Palisades Energy, LLC
Palisades Nuclear Plant
27780 Blue Star Memorial Hwy
Covert, MI 49043-9530

SUBJECT: PALISADES NUCLEAR PLANT – RESTART INSPECTION REPORT
05000255/2025004

Dear Mr. Michael Mlynarek:

On August 31, 2025, the U.S. Nuclear Regulatory Commission (NRC) completed an inspection at the Palisades Nuclear Plant. The enclosed inspection report documents the inspection results, which the inspectors discussed on September 9, 2025, with yourself and other members of your staff.

No violations of more than minor significance were identified during this inspection.

On June 13, 2022, Palisades ceased permanent power operations and subsequently removed all fuel from the reactor, as detailed in the letter from Entergy to the NRC, "Certifications of Permanent Cessation of Power Operations and Permanent Removal of Fuel from the Reactor Vessel," (ADAMS Accession No. [ML22164A067](#)). On September 28, 2023, Holtec Decommissioning International, LLC (Holtec) submitted a letter to the NRC requesting exemptions from certain portions of the requirements of Title 10 of the *Code of Federal Regulations* (10 CFR) 50.82(a)(2) to pursue the potential reauthorization of power operations at Palisades (ADAMS Accession No. [ML23271A140](#)).

On July 24, 2025, the NRC approved an exemption from the requirements of 10 CFR 50.82(a)(2), as detailed in the letter, "Palisades Nuclear Plant – Exemption from the Requirements of 10 CFR 50.82(a)(2) Concerning the Prohibition to Operate and Emplace Fuel in the Reactor Vessel," (ADAMS Accession No. [ML25163A182](#)) and a set of licensing actions supporting reauthorization of Palisades Nuclear Plant. On August 25, 2025, Palisades notified the NRC that they rescinded their 10 CFR 50.82(a)(1) certification, which removed the prohibition on operation and emplacement of fuel in the reactor (ADAMS Accession No. [ML25237A317](#)). Palisades also implemented the set of licensing actions to support reimplementation of their operational licensing basis.

On August 25, 2025, the NRC transitioned oversight of Palisades to the Reactor Oversight Process (ROP).

This letter, its enclosure, and your response (if any) will be made available for public inspection and copying at <http://www.nrc.gov/reading-rm/adams.html> and at the NRC Public Document Room in accordance with Title 10 of the *Code of Federal Regulations* 2.390, "Public Inspections, Exemptions, Requests for Withholding."

Sincerely,

A handwritten signature in black ink that reads "April M. Nguyen". The signature is written in a cursive style with a horizontal line underneath.

Signed by Nguyen, April
on 09/17/25

April M. Nguyen, Lead
Palisades Restart Team
Division of Operating Reactor Safety

Docket No. 05000255
License No. DPR-20

Enclosure:
As stated

cc: Distribution via LISTSERV®

Letter to Michael Mlynarek from April Nguyen dated September 17, 2025.

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05000255/2025004

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U.S. NUCLEAR REGULATORY COMMISSION
Inspection Report

Docket Number: 05000255

License Number: DPR-20

Report Number: 05000255/2025004

Enterprise Identifier: I-2025-004-0065

Licensee: Palisades Energy, LLC

Facility: Palisades Nuclear Plant

Location: Covert, MI

Inspection Dates: July 01, 2025, to August 31, 2025

Inspectors: P. Cataldo, Senior Reactor Inspector, Region I
K. Fay, Senior Reactor Inspector
L. Flores, Resident Inspector, South Texas Project
N. Floyd, Senior Reactor Inspector, Region I
M. Gangewere, Senior Reactor Inspector
D. Hoang, Civil Engineer
D. Lanyi, Senior Operations Engineer, Region II
J. Mancuso, Senior Resident Inspector
E. Miller, Senior Reactor Inspector
T. Okamoto, Resident Inspector
C. Padilla, Reactor Inspector
J. Park, Senior Reactor Inspector
A. Shaikh, Senior Reactor Inspector
C. Speer, Reactor Systems Engineer
C. St. Peters, Senior Project Engineer
J. Winslow, Senior Project Engineer

Approved By: April M. Nguyen, Lead
Palisades Restart Team
Division of Operating Reactor Safety

Enclosure

SUMMARY

The U.S. Nuclear Regulatory Commission (NRC) performed inspection activities of the licensee's performance associated with the return to an operational status.

List of Findings and Violations

None.

Additional Tracking Items

None.

PLANT STATUS

On August 25, 2025, Palisades notified the NRC that they rescinded their 10 CFR 50.82(a)(1) certification, which removed the prohibition on operation and emplacement of fuel in the reactor. Palisades also implemented the set of licensing actions to support reimplementation of their operational licensing basis. On August 25, 2025, the NRC transitioned oversight of Palisades to the Reactor Oversight Process (ROP).

The NRC is conducting inspections to evaluate and assess the licensee's activities for restoration to an operating status. The resident inspectors, as well as supplemental inspectors, continue to provide daily oversight of the restart activities occurring at the site.

The unit ended the inspection period in a defueled status.

INSPECTION SCOPES

Inspections were conducted using the appropriate portions of the referenced inspection procedures (IPs) in effect at the beginning of the inspection unless otherwise noted. Currently approved IPs with their attached revision histories are located on the public website at <http://www.nrc.gov/reading-rm/doc-collections/insp-manual/inspection-procedure/index.html>.

REACTOR SAFETY

71111.04 – Equipment Alignment

Partial Walkdown (IP Section 03.01)

The inspectors evaluated system configurations during a partial walkdown of the following system/train:

- (1) emergency diesel generator (EDG) 1-2 during maintenance on EDG 1-1 on August 6, 2025

71111.07 – Heat Exchanger/Sink Performance

Annual Review (IP Section 03.01)

The inspectors observed and evaluated the licensee's inspection and maintenance activities of the following heat exchanger:

- (1) component cooling water (CCW) heat exchanger E-54B from August 12, 2025 through August 22, 2025

71111.08P - Inservice Inspection Activities (PWR)

From July 1 through August 31, 2025, the inspectors observed and verified the licensee's nondestructive examination (NDE) and repair/replacement activities of the reactor vessel closure head, Alloy 600 weld mitigation activities, and steam generator tube plugging, stabilization, and sleeving, conducted in accordance with the requirements of the ASME Code Section XI and other guidance documents. The purpose of these inspections was to verify that the reactor coolant system boundary, reactor vessel closure head, steam generators, and risk-significant piping system boundaries are appropriately monitored for degradation. The inspectors also verified that the examination results were thoroughly reviewed and appropriately evaluated, and that required corrective actions to address identified indications and defects are being appropriately implemented. During this quarter, the licensee conducted repair/replacement activities for the reactor vessel closure head, steam generator tubes, and Alloy 600 welds in the primary coolant system and in other areas. Further NRC inspections will monitor repair/replacement activities as they are conducted.

The inspectors verified that the following NDE and repair/replacement activities were conducted appropriately per the ASME Code or required standard, and that any potential indications and defects were identified and evaluated at the proper thresholds:

Nondestructive Examination and Welding Activities (IP Section 03.01)

- (1) reactor vessel inside surface ultrasonic examination

Vessel Upper Head Penetration Inspection Activities (IP Section 03.02)

- (1) reactor head penetration Alloy 690 nozzle repair welds ultrasonic examinations
- (2) reactor head vent line repair welding

Steam Generator Tube Inspection Activities (IP Section 03.04)

- (1) steam generators 'A' and 'B' tube sleeving and eddy current testing

71111.13 – Maintenance Risk Assessments and Emergent Work Control

Risk Assessment and Management (IP Section 03.01)

The inspectors evaluated the accuracy and completeness of risk assessments for the following planned work activities to ensure configuration changes and appropriate work controls were addressed:

- (1) risk management for work activities with the following equipment out of service:
EDG 1-1 maintenance outage; battery charger 1; CCW pump P-52A; fire pump P-9B;
and service water pump P-7C during the work week of August 11, 2025

71111.20 – Refueling and Other Outage Activities

Refueling/Other Outage Sample (IP Section 03.01)

The inspectors verified that the following outage activities important to safety were appropriately managed:

- (1) control of work activities and foreign material exclusion control during steam generator 'B' nozzle dam installation on July 1, 2025
- (2) primary coolant pump P-50B motor heavy lift activities in containment and spent fuel pool areas during work from July 17, 2025, to August 13, 2025
- (3) main generator rotor heavy lift and installation activities on August 21, 2025

Additionally, the inspectors verified that the licensee managed fatigue by ensuring workers subject to the requirements in 10 CFR 26 Subpart 4 met all the requirements listed therein.

71111.24 – Testing and Maintenance of Equipment Important to Risk

The inspectors evaluated the following testing and maintenance activities to verify system operability and/or functionality:

Post-Maintenance Testing (PMT) (IP Section 03.01)

- (1) post-maintenance testing following EDG 1-1 work window during the week of August 11, 2025

Diverse and Flexible Coping Strategies (FLEX) Testing (IP Section 03.02)

- (1) testing of FLEX pump P-990 and FLEX generators K-1 and K-2 on July 29 and 30, 2025
- (2) testing of FLEX pump P-1003 on August 27, 2025

71114.06 – Drill Evaluation

Additional Drill and/or Training Evolution

The inspectors observed and evaluated the licensee's performance during:

- (1) emergency preparedness exercise on July 29, 2025

OTHER BASELINE ACTIVITIES

71152 – Problem Identification and Resolution

System Return to Service

During the inspection period, the inspectors continued reviews of Phases I and II of the licensee's system return to service (SRTS) plans. The SRTS plans document licensee activities to verify that the configuration and condition of systems, structures, and components (SSCs) are consistent with the design and licensing bases to support potential restart. The inspectors reviewed Phases I and II of the SRTS plans, which include areas such as licensing and design-basis functions, system material conditions, reviewing open and deferred work prior to shutdown, and program applicability. The inspectors conducted these reviews using IP 71152, "Problem Identification and Resolution," and IP 71111.21M, "Comprehensive Engineering Team Inspection (CETI)," as applicable.

The inspectors commenced reviews of the SRTS plans for the following systems:

- datalogger

The inspectors completed initial reviews of the SRTS plans for the following systems:

- alternate shutdown panel
- containment isolations and penetrations
- containment air coolers
- digital electro-hydraulic controls
- emergency lighting
- spent fuel pool and auxiliary building HVAC

These systems were selected based on the importance of the SSCs during normal and emergency plant operating conditions, risk significance and defense-in-depth of the SSC's specific functions and required work/modifications of the SSCs scheduled prior to potential restart.

The inspectors evaluated the initial SRTS plans for each system to identify if planned licensee activities will verify that the configuration and condition of the SSCs are consistent with the proposed operational design and licensing bases to support restart and verify readiness of the SSCs to support a return to service. The inspectors noted that the SRTS plans are intended to be living documents with a phased approach to SRTS. As the licensee progresses through the SRTS phases, the SRTS plans will undergo additional reviews by NRC inspectors to ensure appropriate SSC restoration and operability/functionality.

INSPECTION RESULTS

No additional inspection results.

EXIT MEETINGS AND DEBRIEFS

The inspectors verified no proprietary information was retained or documented in this report.

- On September 9, 2025, the inspectors presented the inspection results to M. Mlynarek, Site Vice President, and other members of the licensee staff.

DOCUMENTS REVIEWED

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
71111.04	Procedures	SOP-22	Emergency Diesel Generators	85
71111.07A	Corrective Action Documents	25011445	E-54B ECT Possibly Affected by Tube Cleanliness	08/20/2025
71111.08P	Corrective Action Documents	25010690	RVCH UT Inspection Results	07/26/2025
		CR 2024-3591	Rejectable PT Indications	12/17/2024
		CR 2025-1653	Tube 105-112 (row-col) Sleeve Mid Expansion Inadvertently Performed Twice	06/13/2025
		CR 2025-1661	Palisades SG A, 05H TSP Sleeve Mid Expansion Inadvertently Performed Twice	06/11/2025
	NDE Reports	180-9392377-000	Palisades Unit 1 Restart RPV ID Cladding Ultrasonic Examination Final Report	0
	Procedures	54-ISI-619-001	Automated Ultrasonic Examination of Open Tube RPV Closure Head Penetrations - Palisades Specific	1
		PAL 1 D28 ETSS #2	3-Coil + Point Examination Technique Specification Sheet	0
71111.13	Corrective Action Documents	25011236	Sinkhole Starting Near Walkway	08/14/2025
71111.20	Corrective Action Documents	25011226	Rigging plan change for P-50B Motor installation	08/13/2025
		25011481	Main Generator Rotor Rigging Jacket Tear	08/21/2025
	Procedures	FHS-M-23	Movement of Heavy Loads in the Spent Fuel Pool Area	42
		FHS-M-24	Movement of Heavy Loads in the Containment Building Area	42
		MA-314	Movement of Heavy Loads in the Turbine Building	0
		RFL-SG-2	S/G Primary Nozzle Dam Installation and Removal	11
		WI 00584410-06	Primary Coolant Pump Motor Receipt, Movement, and Preoperational Checks	06/17/2025
71111.24	Corrective Action Documents	25010759	Working Order Enhancements for FLEX Hale Pump	07/29/2025
		25010942	Pin Hole Leak Found on Hale pump P-990	08/04/2025
		25010946	3 Yr FLEX Pump Testing Not Completed	08/04/2025
		25010960	Automatic Load Trip Setting Was Too Low	08/04/2025
		25011229	EDG 1-1 Governor Oil Drop During SOP-22 Testing	08/14/2025
		25011239	DBA Load Exhaust Temperatures Missed During MO-7A-1	08/13/2024

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
		25011267	This CR is to Document the Replacement of EMB-0116D (Q1) with a Q4 motor	08/14/2025
		25011274	CK-DE412 OUTLET FITTING HAS LEAK	08/14/2025
		25011278	XJ-802 Small Leak ~ 5 Drops A Minute	08/14/2024
		25011286	Unexpected Alarm EK-0515	08/14/2025
	Procedures	OPS-201	Diverse and Flexible Coping Strategies (FLEX) Program Document	0
		OPS-203	Palisades FLEX Program Document	0
		SOP-22	Emergency Diesel Generators	85
	Work Orders	00583510	FLEX Standby PM: K-1 FLEX Three Year Load Test (FSB A)	08/11/2025
		00583511	FLEX Standby PM: K-2 FLEX Three Year Load Test	08/11/2025
		00583512	FLEX Standby PM: P-990 Three Year Performance Test (FSB B)	08/11/2025
		00583513	FLEX Standby PM: P-1003 Three Year Performance Test (FSB A)	08/27/2025
71114.06	Corrective Action Documents	25010825	EP Graded Exercise Objective Unsatisfactory	07/30/2025
		25010827	EP Graded Exercise Evaluation Criteria, N.2.3, Needs Improvement	07/30/2025
		25010828	EP Graded Exercise Objective Unsatisfactory	07/30/2025
		25010830	EP Graded Exercise Evaluation Criteria Needs Improvement	07/30/2025
		25010833	EP Graded Exercise Evaluation Criteria B.3.2 Needs Improvement	07/30/2025
		25010834	EP Graded Exercise Evaluation Criteria Needs Improvement	07/30/2025
		25010835	EP Graded Exercise Evaluation Criteria I.1.5 Needs Improvement	07/30/2025
		25010837	EP Graded Exercise Objective, K.2 Needs Improvement	07/30/2025
71152	Miscellaneous	PLP-SRTSP-ASP	Alternate Shutdown Panel	0
		PLP-SRTSP-CIS	Containment Isolations and Penetrations (Airlocks)	0
		PLP-SRTSP-CRS	Containment Air Coolers System	0
		PLP-SRTSP-DEH	Digital Electro-Hydraulic Controls	0
		PLP-SRTSP-DTA	Datalogger	0
		PLP-SRTSP-ELU	Emergency Lighting	0
		PLP-SRTSP-VAS	Spent Fuel Pool and Auxiliary Building HVAC	0